

Introduction to Entrepreneurship

Agenda

- Fundamentals of Entrepreneurship
 - Definition of entrepreneurship
 - Key terminologies: startup, enterprise, entrepreneur, entrepreneurial attitude, intention, and behavior
 - Comparison: entrepreneurship vs employment
 - Types of entrepreneurs and their characteristics
 - Enterprise lifecycle
 - Role, importance and challenges
- Emerging technologies, trends of global and local startups

Definition of entrepreneurship

An Entrepreneur

One who

*Organizes, Manages and Assumes Risk of a Business
or Enterprise*

Merriam-Webster

Entrepreneurship

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As an **entrepreneur**, you accept the risks and responsibilities of business ownership.

entrepreneur

an individual who undertakes the creation, organization, and ownership of a business

Entrepreneurship

Creating and running a business **venture** requires a variety of skills.

venture a new business undertaking that involves risk



Entrepreneurship is a mindset

- Opportunity-focused
- Innovative
- Growth-oriented

*Can you add additional
Characteristics and/or Attributes...*



Entrepreneurs have always been present, however their behavioural patterns were different in different periods of time.

The word entrepreneur was derived from the French word “entreprendre”, which means “to undertake” (Kuratko, 2016).

Entrepreneurship vs. Entrepreneurial

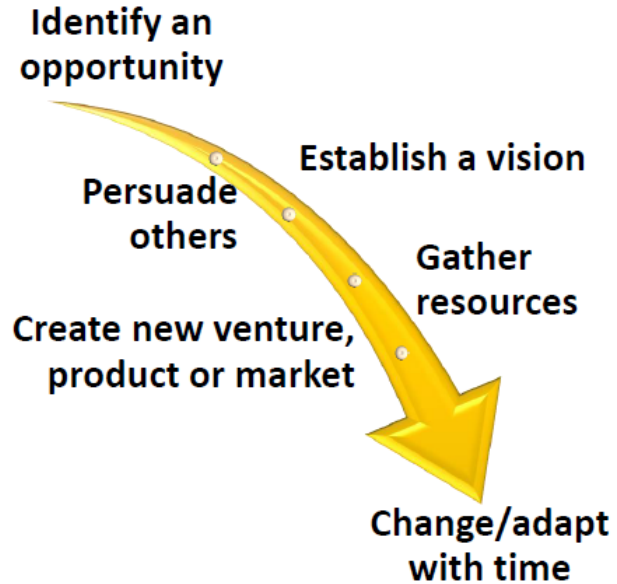


the process of recognizing an opportunity, testing it in the market, and gathering resources necessary to go into business

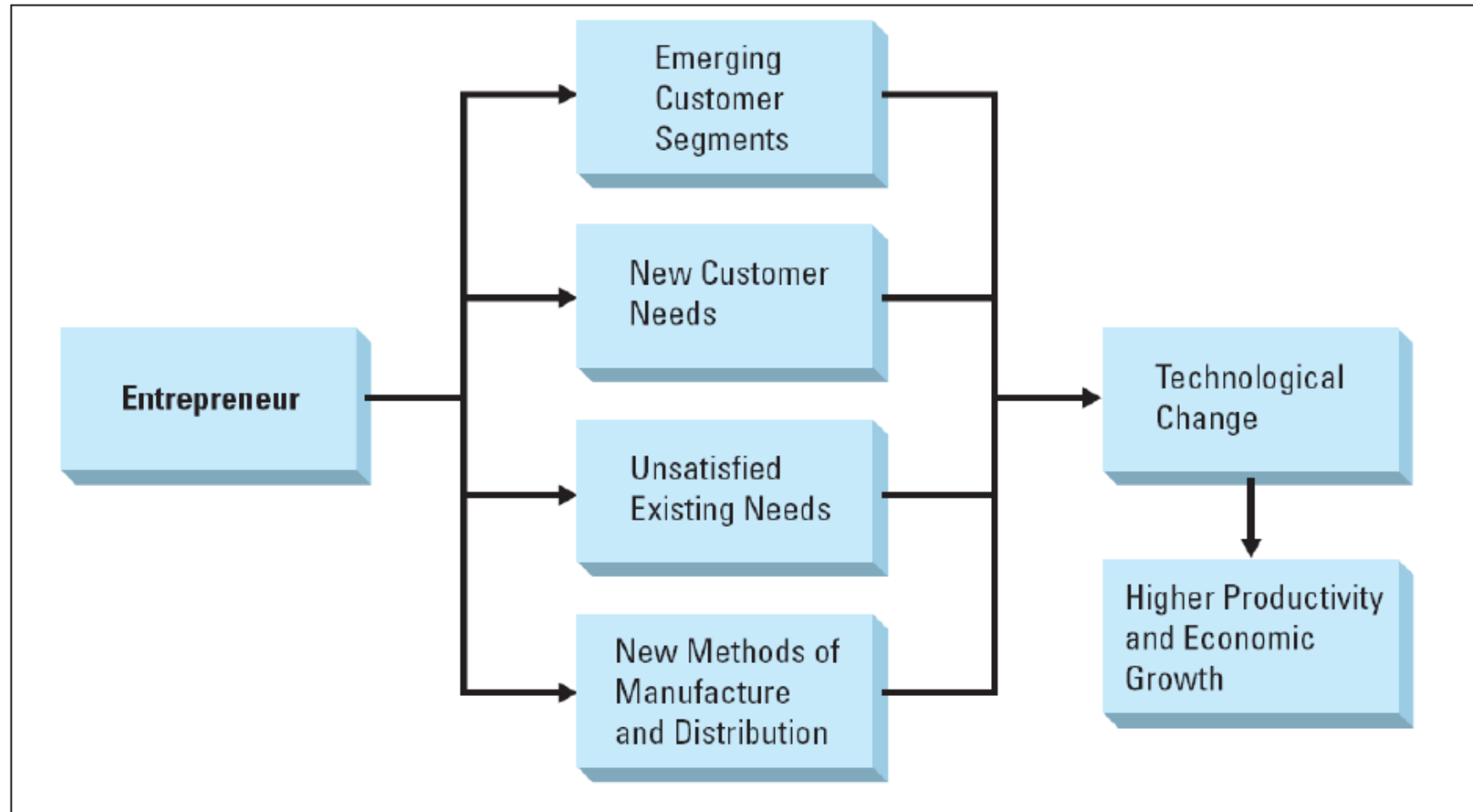
acting like an entrepreneur or having an entrepreneurial mind-set

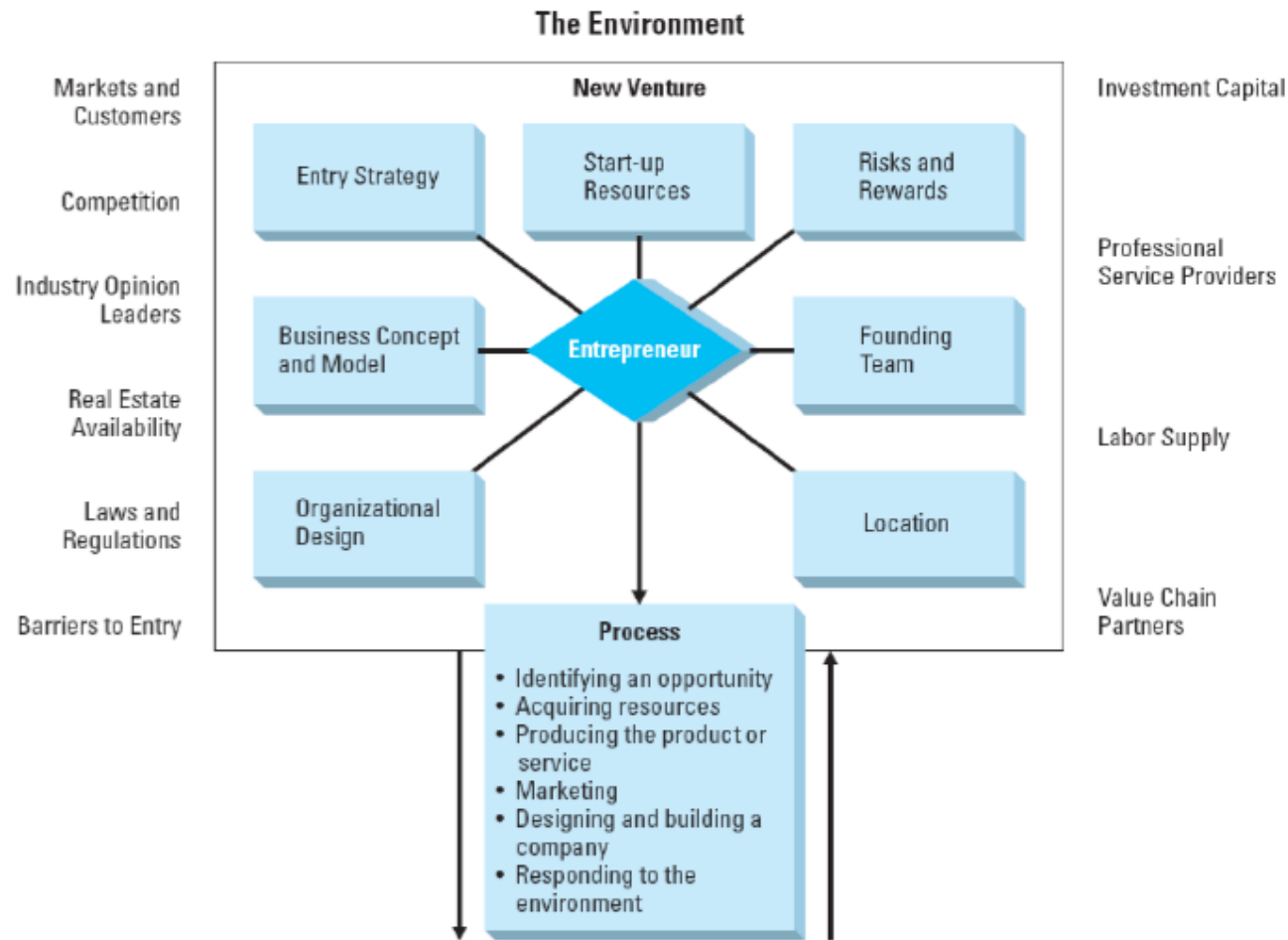
Enrepreneurship Process

The process of entrepreneurship can be observed through the six-stage process:



Entrepreneurship and Technological Change





The Entrepreneurship Process

Outcomes of Entrepreneurship



ECONOMIC GROWTH



NEW INDUSTRY
FORMATION



JOB CREATION



> *KNOWLEDGE, WEALTH,
PHILANTHROPY* <

Startup

- A startup is a newly established venture formed to develop and deliver innovative products or services, often leveraging technology.
 - Focuses on innovation and solving market problems.
 - Operates in uncertain and dynamic environments.
 - Aims for rapid growth and scalability.
 - Typically supported by venture capital or angel investors.
 - Uses agile and flexible business models.
- Example: Uber, Airbnb, Pathao, Foodmandu.



Enterprise

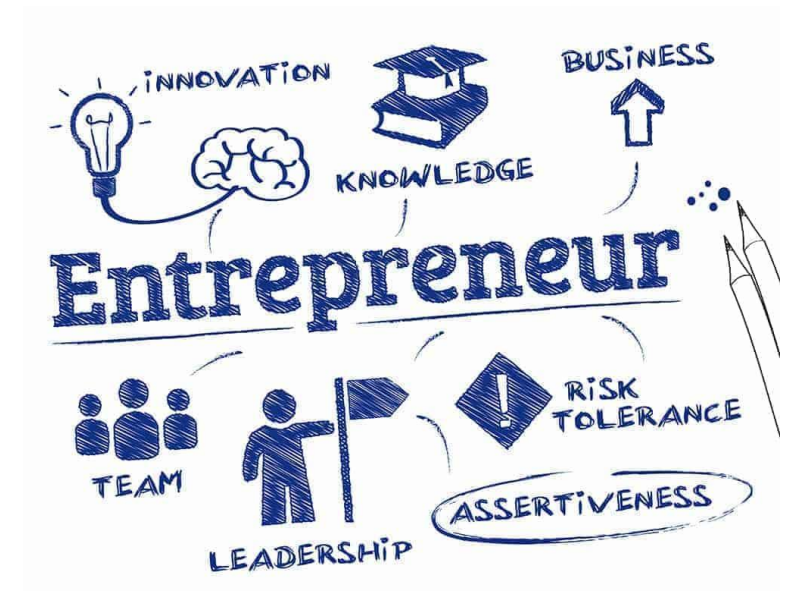


An enterprise is an organized business entity engaged in commercial, industrial, or professional activities, operating at a larger and more structured scale.

- Can be small, medium, or large-scale organization.
- Focused on sustainability and profitability.
- Has a defined structure with departments and management hierarchy.
- Operates with stable processes and long-term strategies.
- Emphasizes operational efficiency and market expansion.
- Example: Samsung, Ncell, Chaudhary Group (CG), Unilever.

Entrepreneur

- An entrepreneur is a person who identifies opportunities, organizes resources, takes calculated risks, and creates value by starting and managing a business.
 - Innovator and risk-taker.
 - Converts ideas into profitable ventures.
 - Possesses vision, leadership, and persistence.
 - Creates jobs and drives economic growth.
 - Continuously learns and adapts to market changes.
- Example: Elon Musk, Binod Chaudhary, Steve Jobs.



Entrepreneurial Attitude

- Entrepreneurial attitude refers to a mindset that promotes creativity, initiative, confidence, and readiness to take risks and exploit opportunities.
 - Reflects optimism and proactive thinking.
 - Involves willingness to innovate and experiment.
 - Encourages resilience in facing challenges.
 - Builds self-confidence and adaptability.
 - Essential for identifying and acting on opportunities.
- Example: **Viewing challenges as opportunities for innovation.**



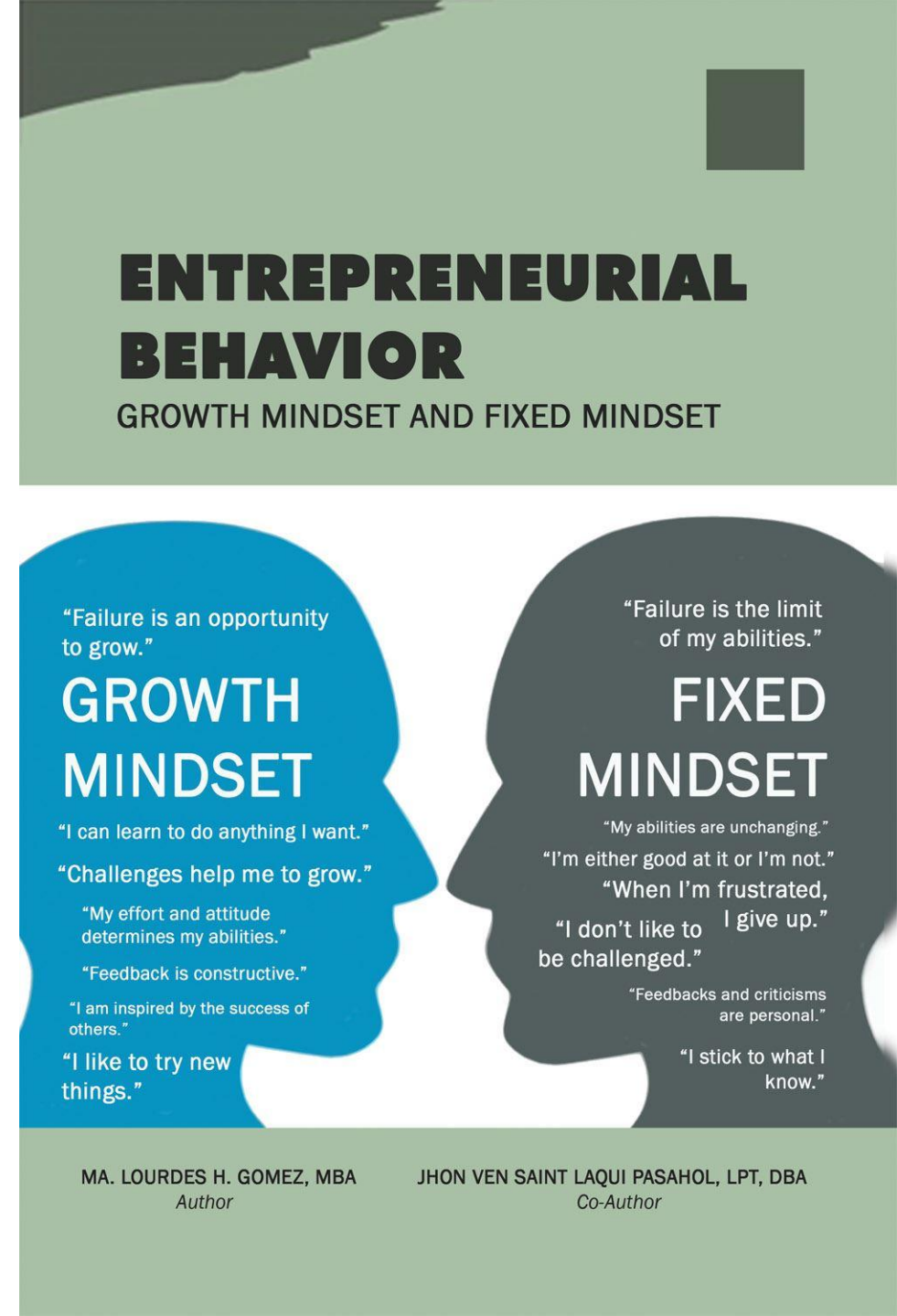
Entrepreneurial Intention



- Entrepreneurial intention is the conscious decision and determination to start a new business venture.
 - Represents motivation before action.
 - Influenced by personal goals, attitude, and confidence.
 - Shaped by environment, education, and social support.
 - Strong intentions increase the likelihood of entrepreneurship.
 - Considered the first step in the entrepreneurial process.
- Example: A student planning to launch a startup after graduation.

Entrepreneurial Behavior

- Entrepreneurial behavior is the set of actions taken by an individual to identify opportunities, mobilize resources, and implement innovative ideas.
 - Involves planning, organizing, and executing new ventures.
 - Focused on innovation and value creation.
 - Demonstrates leadership and decision-making skills.
 - Builds and manages networks and partnerships.
 - Adapts to change and overcomes business challenges.
- Example: Developing a prototype, finding investors, and launching a new product.



Where
Search destinationsCheck in
Add datesCheck out
Add datesWho
Add guests

Popular homes in Seoul >

Room in Seoul
\$53 for 2 nights - ★ 4.88Guesthouse in Seoul
\$75 for 2 nights - ★ 4.95Room in 종로구
\$184 for 2 nights - ★ 4.95Room in Mapo-gu
\$67 for 2 nights - ★ 4.84Room in Seoul
\$85 for 2 nights - ★ 4.94Room in Mapo-gu
\$78 for 2 nights - ★ 4.79Room in 종로구
\$199 for 2 nights - ★ 4.92

Description:

Airbnb is a global online marketplace that connects hosts offering homes, apartments or unique accommodations with guests looking for short-term stays. Founded in 2008 in San Francisco, it has grown rapidly by leveraging digital technology, the sharing economy and peer-to-peer lodging.

Here's the current total value (market capitalization) of Airbnb, Inc. (tickerABNB):

- As of late October/November 2025, Airbnb's market cap is around **US \$73.3 billion**. MarketCap Watch +2
- Another source puts it at about **US \$78.36 billion**. StockAnalysis +2
- So a reasonable "round-figure" estimate: $\approx$ **US \$75-80 billion**.

- **The real story about how Airbnb was founded - Nathan Blecharczyk Co-founder Airbnb - Startup Success**

- <https://www.youtube.com/watch?v=M6GBqqk2mY4>

- **How Airbnb designs for trust | Joe Gebbia**

- <https://www.youtube.com/watch?v=16cM-RFid9U>

Key Figures

- In a study by Colliers International, Airbnb's share of **total accommodation revenue** (hotels + short-term rentals) was estimated at **under 4 % to 3 %** in the markets studied. Colliers
- In a city-level analysis in Boston (2015-16), Airbnb's share of **available room nights** increased from $\sim 5 \%$ (early 2015) to $\sim 19 \%$ by September 2016; but share of **hotel-equivalent revenue** was around $\sim 5.5 \%$ by September 2016. Boston University
- In selected major tourist cities (such as Paris, San Francisco, London), Airbnb's supply share (i.e., listings/rooms) was reported at around $\sim 10 \%$. SCB EIC +1

Entrepreneurship vs. Employment

Basis of Comparison	Entrepreneurship	Employment
Core Definition	A process of identifying opportunities, mobilizing resources, and creating value through new ventures.	Working within a structured organization to perform predefined tasks for wages or salary.
Purpose / Objective	To innovate, solve problems, exploit opportunities, and create economic/social value.	To contribute skills to achieve organizational goals and earn stable income.
Driving Logic	Opportunity-driven. Entrepreneurs act on perceived market gaps.	Resource- or task-driven. Employees perform roles based on organizational needs.
Risk Level	High — entrepreneur personally bears market, financial, and operational risks.	Low — employer absorbs most business risks; employee risk is limited.
Decision-Making Power	Full autonomy in decisions related to strategy, innovation, and resource allocation.	Limited; decisions follow hierarchy and organizational rules.
Income Pattern	Variable; depends on venture success, market dynamics, and innovation.	Fixed and predictable salary; incremental increases via promotions.
Motivation	Independence, innovation, achievement, creativity, opportunity recognition.	Job security, stable income, professional growth, organizational upward mobility.
Skills Required	Opportunity recognition, strategic thinking, leadership, resource mobilization, risk management, creativity.	Technical skills, task execution, discipline, teamwork, specialization.
Work Environment	Dynamic, uncertain, flexible, fast-changing; environment is shaped by the entrepreneur.	Stable, structured, defined by company culture, systems, and policies.

Responsibilities	High and wide — entrepreneur manages all functional areas (finance, marketing, HR, operations).	Narrow and specific — limited to the job description.
Innovation Role	Central — entrepreneurs must innovate to succeed.	Optional — depends on role and industry; innovation typically top-down.
Goal Orientation	Growth, opportunity exploitation, scalability, market creation.	Performance within given role, organizational objectives, job security.
Work Hours	Flexible but often long and demanding due to venture pressure.	Structured working hours and predictable schedules.
Failure Consequences	High impact — personal financial loss, business closure, reputational risk.	Mild to moderate — job loss but no business-level financial collapse.
Financial Investment	Required; often personal investment or external fundraising.	Not required; only time, skill, and labor invested.
Learning & Growth	Broad learning (cross-functional skills), experiential, often rapid.	Vertical learning within role; skill specialization encouraged.
Orientation to Change	Proactive; entrepreneurs create and respond to change.	Reactive; employees follow organizational change.
Accountability	Direct accountability for all outcomes — profit, loss, direction, team performance.	Accountability limited to assigned tasks and performance metrics.
Success Indicators	Business growth, innovation, market traction, profitability, scalability.	Job performance, promotions, salary increments, recognition.
Social Contribution	Job creation, innovation, economic development, community impact.	Contributes to organizational productivity and efficiency.

Types of entrepreneurs and their characteristics

Form	Core Actor / Setting	Key Traits & Features	Contextual Enablers
Individual Entrepreneur	Person starts/acquires an independent business	High self-efficacy, internal locus of control, openness, risk tolerance, need for achievement	Flexible markets, access to resources, networks, favourable institutional support
Intrapreneur	Person inside a large organisation acting entrepreneurially	Similar personal traits to entrepreneurs + political skills, stakeholder management, resilience inside bureaucracy	Organisational culture of innovation, autonomy, resource support, top management backing
Entrepreneurial Organization	Organisation with embedded entrepreneurial function	Collective initiative, distributed entrepreneurship, culture of innovation	Leadership commitment, structural support, rewards, internal processes for venturing and innovation

Individual Entrepreneur



- An **individual entrepreneur** is a person who *starts, acquires, or franchises* his/her own independent organization. They operate in the broader, flexible marketplace, and bear the full responsibility for the venture's creation, growth, risk, and outcome.
- **Key Features & Activities**
 - Full ownership or controlling stake in the enterprise.
 - Engage in opportunity-identification, business model development, resource mobilization, risk-bearing, launch and scale of the business.
 - Operate in a relatively unconstrained economic environment (versus a large bureaucratic organization).
 - Key responsibilities include strategy, operations, finance, marketing, HR, growth planning.

- **Behavioural & Trait Insights (based on Kerr et al. 2017)**

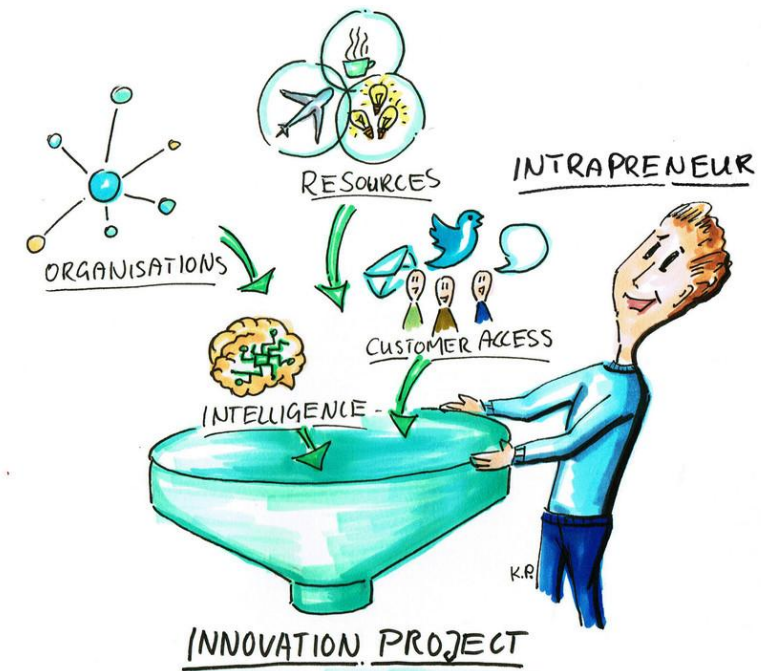
- Tend to score higher on traits such as **openness to experience, conscientiousness (esp. achievement-oriented dimension)**.
- Exhibit **high self-efficacy** (especially entrepreneurial self-efficacy), meaning strong belief in their ability to perform tasks such as innovation, risk-taking, management and financial control.
- More likely to report an **internal locus of control**—they believe their own efforts and decisions determine outcomes rather than external forces.
- Strong **need for achievement (nAch)** – desire for mastery, challenging goals, taking initiative.
- More risk-tolerant (though the relation with success and performance is mixed) and more comfortable in ambiguous, novel environments.

- **Challenges & Considerations**

- High personal financial, operational and market risk.
- The entrepreneur often wears many hats and may struggle with resource constraints.
- Success depends not only on traits but also on environment, networks, resources and timing.
- Requires balancing innovation with execution, and may face isolation or burnout.

Intrapreneur

- An **intrapreneur** is a person within a large organization who engages in entrepreneurial actions — introducing new products, services, processes, or business units from within. The process is called “intrapreneurship.”
 - The intrapreneur’s context is often a large, bureaucratic organization, whereas the individual entrepreneur operates in a more flexible marketplace.
 - Intrapreneurs may engage in entrepreneurial actions *without* full organizational support or blessing.
- **Key Features & Activities**
 - Works inside an established firm but acts like an entrepreneur: identifies new opportunities, mobilizes internal resources, champions innovation, and drives change.
 - Requires navigating organizational structures, securing buy-in, managing stakeholders, and pushing boundaries.
 - The environment is more constrained: legacy systems, formal processes, risk-aversion, organizational politics.
 - Activities may include new venture creation inside company, product innovation, process redesign, creating spin-offs.



- **Trait & Contextual Insights (from Kerr et al.)**

- While intrapreneurs may share many traits with independent entrepreneurs (e.g., self-efficacy, internal locus of control, innovativeness) their **contextual demands differ** significantly.
- Research shows that **environment matters**: even high-trait individuals may struggle in rigid organisations or when lacking autonomy.
- The effectiveness of intrapreneurs often depends on **organizational culture, support systems, tolerance for risk, autonomy, reward structure** – factors that moderate the trait–outcome relationship.
- Because intrapreneurs work within a firm, their risk is lower than founding a new venture, but they must manage organizational constraints and internal politics.

- **Advantages:**

- Access to existing resources, brand, distribution, and support infrastructure.
- Lower start-up risk compared to independent entrepreneurship.

- **Challenges:**

- Less autonomy; must align innovations with corporate strategy.
- Bureaucracy, resistance to change, internal competition for resources.
- Measuring success may differ (e.g., internal metrics vs external market performance).

Entrepreneurial Organization



- An **entrepreneurial organization** is an organization (could be a corporate, non-profit, or social enterprise) that **embeds the entrepreneurial function** across its structure, encouraging members to act entrepreneurially rather than relying solely on one individual. The organization *creates an environment* in which its members collectively fulfill the entrepreneurial function.
- **Key Features & Activities**
 - The entrepreneurial function is distributed across the organization, not just vested in a founder.
 - The organization cultivates a culture of innovation, flexibility, initiative, and internal venturing.
 - It provides systems, structures, reward mechanisms, autonomy, and a mindset that support entrepreneurial actions by multiple actors.
 - Employees act as “intrapreneurs” and the organization supports them via resources, training, idea systems, and internal venturing mechanisms.

- **Trait & Environmental Insights**

- The organization's **environment** acts as a moderator: The same individual traits (e.g., self-efficacy, internal locus of control) yield better outcomes when the organization supports entrepreneurship.
- Because the entrepreneurial potential is embedded in the environment, **organizational design, culture, reward system, and structure** matter a great deal.
- Research emphasizes that while individual traits matter, **contextual factors** (resources, networks, infrastructure, institutional environment) account for a large part of entrepreneurial success.

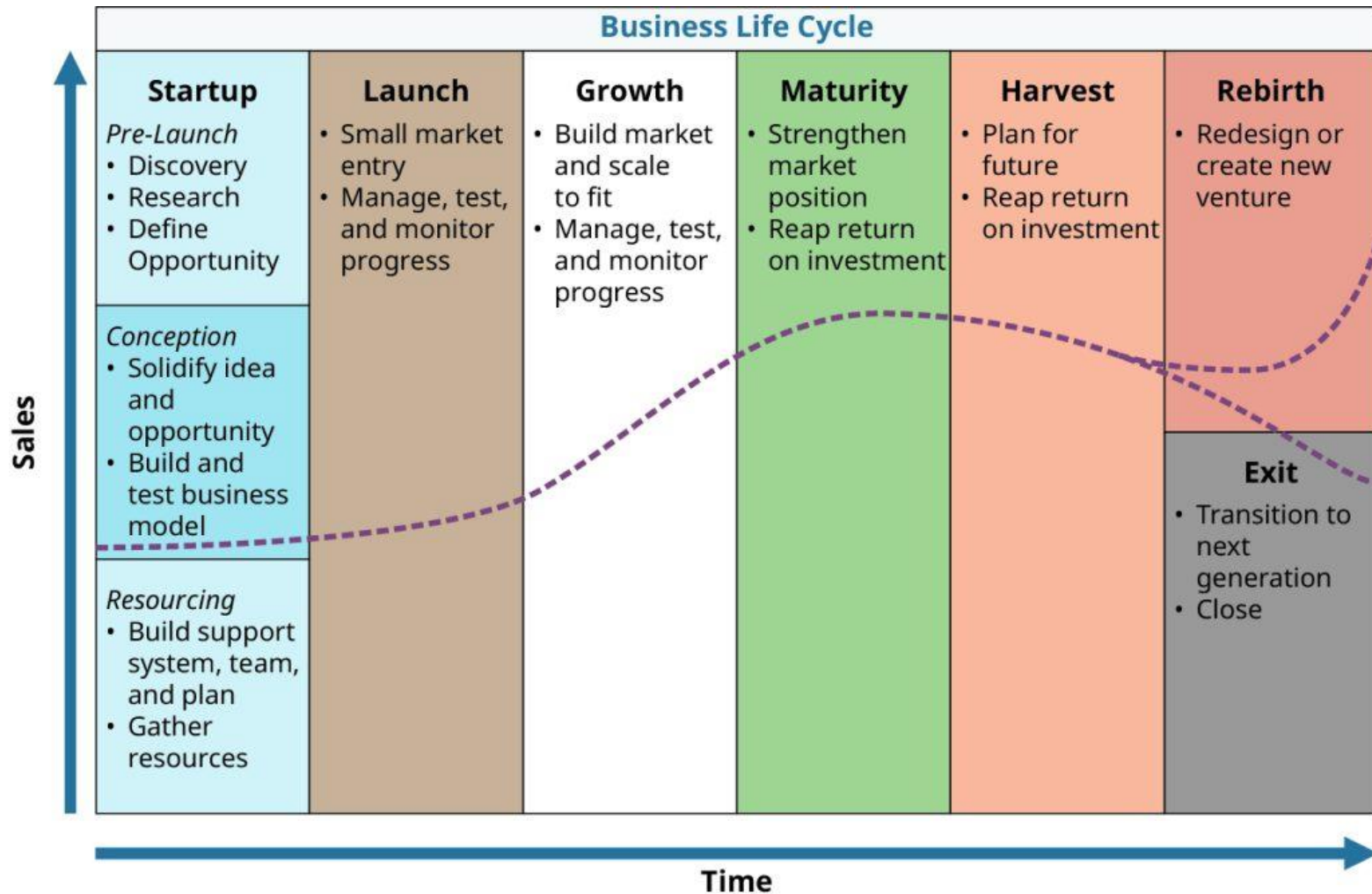
- **Advantages:**

- Collective innovation, shared risk, access to greater resources and infrastructure.
- The organization may scale entrepreneurial efforts internally and harness many actors.

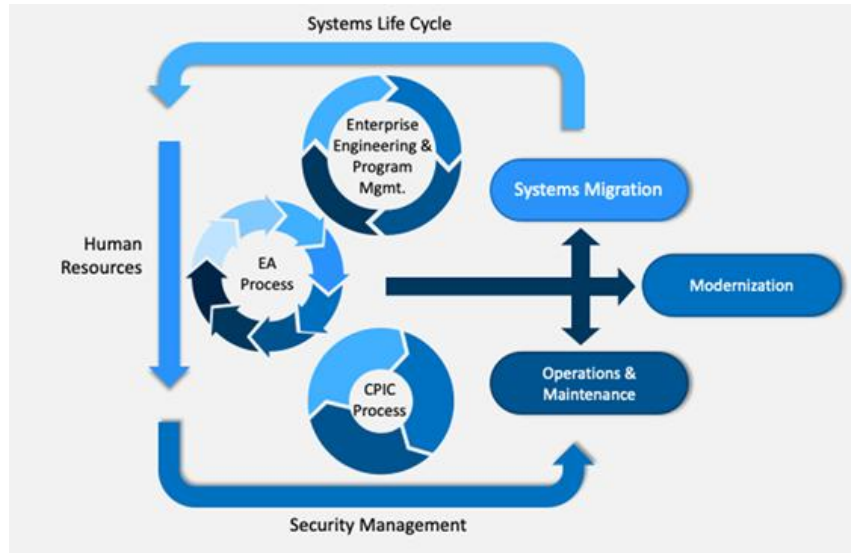
- **Challenges:**

- Organizational inertia, conflicting priorities, difficulty sustaining entrepreneurial culture over time.
- Balancing exploratory (innovative) vs exploitative (core business) activities.
- Need for leadership alignment, governance mechanisms to avoid stifling entrepreneurial behavior.

Enterprise lifecycle



Enterprise lifecycle



The Enterprise Life Cycle describes the **phases through which an enterprise evolves**, integrating business strategy, IT systems, processes, security, and human capital over time.

- **Enterprise Engineering & Program Management**
 - Plan and execute enterprise-wide initiatives
 - Allocate resources and manage transformation programs
- **Enterprise Architecture (EA) Process**
 - Define current (baseline) and future (target) state
 - Conduct gap analysis and roadmap planning
- **Capital Planning & Investment Control (CPIC)**
 - Prioritize and govern investments
 - Align projects with strategic goals
- **System Life Cycle**
 - Develop, implement, maintain, and retire IT systems
 - Ensure integration with enterprise processes
- **Security Management**
 - Incorporate security across all stages
 - Manage risk during transformations
- **Human Capital Management**
 - Align workforce skills with evolving enterprise needs
 - Plan training, reskilling, and role adjustments
- **Maintenance, Disposition, & Disposal**
 - Retire outdated systems or processes
 - Track changes via configuration management

Role

- Economic Development: Drives GDP growth and increases national income.
- Job Creation: Generates employment through new ventures and expansions.
- Innovation: Introduces new products, services, and technologies.
- Resource Utilization: Efficiently mobilizes and utilizes resources.
- Market Expansion: Opens new markets and enhances trade.
- Social Change: Improves living standards and supports community development.



Importance



- Encourages Innovation: Leads to improved products and services.
- Boosts Economic Growth: Enhances industrial development and competitiveness.
- Promotes Self-Reliance: Reduces dependence on external support and imports.
- Generates Wealth: Creates opportunities for investors, employees, and society.
- Fosters Regional Development: Helps develop backward and rural areas.
- Supports Small and Medium Enterprises (SMEs): Backbone of economies worldwide.

Challenges

- Financial Constraints: Difficulty accessing capital and managing cash flow.
- Market Uncertainty: Unpredictable customer demand and competition.
- Regulatory Hurdles: Compliance with laws, licenses, and tax systems.
- Technological Changes: Rapid tech evolution requires constant adaptation.
- Human Resource Issues: Recruiting, retaining, and managing skilled workforce.
- Risk & Failure: High probability of failure, requiring resilience and risk management.



Emerging Technologies & Startup Trends in Entrepreneurship

Emerging Technologies Shaping Entrepreneurship

- **Artificial Intelligence (AI) & Generative AI**

- Enables new business models, automation, predictive analytics
- Reduces operational costs and accelerates product development

- **Internet of Things (IoT) & Smart Devices**

- Drives new services in smart homes, industrial IoT, and wearable tech
- Enables real-time data collection for startups

- **Blockchain & Web3**

- Supports decentralized finance, NFTs, and secure transactions
- Creates new opportunities in digital identity and supply chains

- **Biotechnology & HealthTech**

- Innovations in diagnostics, personalized medicine, and telehealth
- Especially relevant for startups in emerging markets addressing local healthcare gaps

- **CleanTech & ClimateTech**

- Renewable energy, sustainable agriculture, and circular economy solutions
- Startups solving environmental challenges gain global relevance

- **Robotics & Automation**

- Enables startups to scale operations with minimal human intervention
- Important in manufacturing, logistics, and service industries

- **Quantum Computing & Advanced Computing**

- Supports highly complex problem-solving and optimization for startups
- Emerging but poised for disruptive innovation

Global Startup Trends

- **Digital-first Business Models**
 - Startups leverage cloud, SaaS, and platform ecosystems to scale globally
- **AI-driven Innovation**
 - AI integrated into product design, operations, and customer service
- **Remote & Distributed Teams**
 - Global talent access and cost efficiency
- **Venture Capital & Strategic Funding**
 - Focus on late-stage, high-impact investments after product validation
- **Sustainability-driven Startups**
 - Increasing focus on ESG (Environmental, Social, Governance)

Local Startup Trends (Emerging Economies)

- **Frugal & Reverse Innovation**
 - Products designed for cost-sensitive markets later adapted globally
- **Mobile-first & Digital Services**
 - Fintech, e-commerce, healthtech leveraging widespread mobile penetration
- **Agritech & Rural Entrepreneurship**
 - Startups targeting agriculture, supply chains, and rural markets
- **Social Entrepreneurship**
 - Solving local community problems, healthcare, education, and access
- **Government & Incubator Support**
 - Local startup ecosystems rely on policies, grants, and mentorship programs

Implications for Entrepreneurs

- Adopt Emerging Tech Early: Competitive advantage through innovation
- Blend Global & Local Perspectives: Scale ideas globally while addressing local needs
- Focus on Sustainability & Social Impact: Align with investor and customer expectations
- Leverage Digital Platforms: Faster access to markets, talent, and capital